

Investing in Bonds

Bonds are known as fixed-income securities because their income is fixed at the time the issuer sells them. When you buy a bond, you're lending the bond issuer money in return for a fixed rate of return. The issuer usually pays the interest semiannually, but sometimes the issuer pays the dividend at maturity when it repays the principal it borrowed from you.



Bonds are rated for safety by bond-rating companies and given a grade between AAA (low risk) and C (high risk) to indicate the likelihood that the issuer will pay the interest and principal as promised. Look up ratings at A. M. Best (www.ambest.com), Moody's (www.moodys.com), and Standard & Poor's (www.standardandpoors.com).

Corporations, states, cities, and governments all issue bonds for the same reason companies issue stock: to raise money for operations, expansion, or other financial needs. Unlike a stock, where you technically own a part of the company you are invested in, by investing in a bond you become a lender to the company. Therefore, interest payments are a legal obligation of the company while the payment of a dividend, which is a distribution of a corporation's earnings to its stockholders, is a nonobligatory payment made at the discretion of the corporation's management (i.e., its board of directors).

Risk Level of Bonds

Bonds issued by the federal government are extremely safe. Some corporate bonds are safe and others are high-risk. High-yield bonds pay a higher interest rate, but their nickname of "junk bonds" should give you fair